

Long service leave

Policy Number: C38 (QH-POL-163)

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Purpose: To outline long service leave entitlements for Queensland Health employees.

Application: This policy applies to employees working for Queensland Health

This policy does not apply to Visiting Medical Officers. Refer to Visiting Medical Officers – Engagement, leave and entitlements HR Policy B20.

This policy does not apply to Queensland Ambulance Service employees. Instead, Queensland Ambulance Service employees are to refer to their local policy/procedure.

Delegation: The 'delegate' is as listed in the relevant Department of Health Human Resource (HR) Delegations Manual or Hospital and Health Services Human Resource (HR) Delegations Manual, as amended from time to time.

Legislative or other authority:

- *Industrial Relations Act 2016*
- *Succession Act 1981*
- Health Practitioners and Dental Officers (Queensland Health) Award – State 2015
- Hospital and Health Service General Employees (Queensland Health) Award – State 2015
- Medical Officers' (Queensland Health) Award - State 2015
- Nurses and Midwives (Queensland Health) Award – State 2015
- Queensland Public Service Officers and Other Employees Award – State 2015
- Aboriginal and Torres Strait Islander Health Workforce (Queensland Health) Certified Agreement (No.1) 2019
- Health Practitioners and Dental Officers (Queensland Health) Certified Agreement (No. 3) 2019
- Nurses and Midwives (Queensland Health and Department of Education and Training) Certified Agreement (EB10) 2018
- Queensland Health Building, Engineering and Maintenance Services Certified Agreement (No. 7) 2019
- Queensland Public Health Sector Certified Agreement (No.10) 2019 (EB10)
- Minister (IR) Directive 11/18 – Long Service Leave
- Minister (IR) Directive 12/18 – Recognition of Previous Service

Related policy or documents:

- Visiting Medical Officers – Engagement, leave and entitlements HR Policy B20 (QH-POL-256)
- Purchased Leave HR Policy C21 (QH-POL-203)
- Annual/Recreation Leave HR Policy C51 (QH-POL-100)
- Recognition of previous service for long service Leave and sick leave purposes HR Policy C55 (QH-POL-211)
- Sick Leave HR Policy C64 (QH-POL-230)
- Employee complaints HR Policy E12 (QH-POL-140)
- Separation of Employment HR Policy H1 (QH-POL-227)



- Queensland Industrial Relations Commission – Payment instead of taking long service leave application guide

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1 Policy Application

Employee entitlements to long service leave are outlined in the relevant industrial award and/or enterprise agreement and the *Industrial Relations Act 2016*.

Queensland Health employees may apply for pro rata long service leave on full pay, or half pay, after completing seven years continuous service, and are entitled to a cash equivalent of long service leave on termination after 10 years continuous service, or a lesser period as outlined in section 6.1.

The procedural provisions for long service leave are listed in Attachment One.

2 Minimum access periods

Long service leave may be accessed as follows:

- For leave on full pay - the minimum leave taken at any one time is one day, or one rostered shift.
- For leave on half pay - the minimum leave taken at any one time is one week.

3 Fellowship/scholarship holders

Fellowship/scholarship holders accrue long service leave at public service rates and conditions for the duration of their bonded period with Queensland Health. Portability of these entitlements is available dependent on circumstances.

Upon completion of the bonded period, continuing employment entitlements revert to award provisions.

4 Registrars – vocational training programs

Registrars may be involved in a vocational training scheme/pathway/network that require rotation to regional centres and/or to facilities outside of Queensland Health.

Registrars returning to a Queensland Health facility after a rotation outside Queensland Health are entitled to recognition of their previous service for long service leave accumulation purposes in accordance with Minister (IR) Directive 12/18 Recognition of Previous Service. Recognition of previous service only applies to service from an employer that is recognised under Directive 12/18. Refer Recognition of previous service for long service and sick leave purposes HR Policy C55.

5 Payment instead of taking long service leave

Section 110 of the Industrial Relations Act states that an employee may be paid all or part of their long service leave balance instead of taking the leave. This payment may be made under the following circumstances:

- the applicable award, certified agreement or industrial agreement provides for the employee to be paid for all or part of the entitlement, and the employee and employer agreeing (by completing a signed agreement) that the payment be paid and the payment is made in accordance with the industrial instrument
or
- if the applicable award, certified agreement or industrial agreement does not contain a provision for an employee to apply to cash out their long service leave, the employee may submit an application to the Queensland Industrial Relations Commission (QIRC) to cash out part, or all of their long service leave balance, if the QIRC is satisfied that the payment is being made on compassionate grounds, or on the grounds of financial hardship.

Employees who complete 10 years' continuous service are entitled to apply for payment of all or part of their long service leave balance instead of taking the leave.

Nurses and Midwives (Queensland Health and Department of Education) Certified Agreement (EB10) 2018

For nursing and midwifery employees, clause 37.4 of the *Nurses and Midwives (Queensland Health and Department of Education) Certified Agreement (EB10) 2018* provides for an employee

to cash out their accrued long service leave after becoming eligible for long service leave on compassionate grounds or on the ground of financial hardship.

6 Voluntary reversion to a lower classification

When an employee voluntarily reverts to a lower classification, the employee is entitled to long service leave accrued as at the date of the reversion at the employee's substantive classification and pay point immediately preceding the reversion. At the time of taking the leave the employee is entitled to be paid at the rate of that previous higher substantive classification and pay point. An employee is not compelled to take accrued long service leave at the date of voluntary reversion to a lower classification.

Long service leave accrued after reversion to a lower classification is payable at the employee's classification and pay point at the time the leave is taken.

If an employee was subsequently promoted to a higher classification level, any long service leave would be paid at the employee's classification and pay point at the time the leave is taken.

When an employee subsequently attains a substantive classification and pay point higher than the substantive classification and pay point immediately preceding reversion to a lower classification, all long service leave accrued is payable at the higher substantive classification and pay point.

7 Termination payment

A person who ceases to be an employee, and who at the date of ceasing to be an employee has an entitlement to long service leave, is to receive a payment in lieu of long service leave not taken.

A cash equivalent of long service leave also attracts the benefit of public holidays that would occur during the long service leave if it were granted immediately upon cessation of duty.

Where cash equivalent payments are being made for recreation leave and long service leave, the long service leave and recreation leave are presumed to have been taken from the day the termination takes effect and the employee is entitled to payment for any public holidays which fall within the period the employee is presumed to have taken the leave. For purposes of processing, it is presumed that the long service leave and recreation leave are taken concurrently.

Public holidays falling within the period the employee is presumed to have taken the leave are to be paid for only once.

The calculation of the payment amount is to be based on:

- the employee's accrued long service leave not taken, as at the date of cessation,
- payment is made:
 - at the employee's ordinary rate,
 - or
 - in accordance with section 110 of the Industrial Relations Act, which does not specify the rate at which a payment in lieu of long service leave at termination is to occur. The rate to use is set out in subdivision 5 of the Industrial Relations Act, as outlined below.

“An employer must pay an employee for long service leave at the following rate—if the employee is, immediately before taking the leave, being paid at a higher rate than the ordinary rate—the higher rate”.

or

- in cases when an employee has voluntarily reverted to a lower classification as part of their continuous service, the cash equivalent is based on the actual rates paid at the time of termination for both the higher level and lower level accrued balances.

If an employee resigns and is paid cash equivalent for long service leave and/or recreation leave, and is then re-employed during a period of cash equivalent, that person does not have to pay back the cash equivalent.

When a permanent full-time or part-time employee of Queensland Health changes their employment status from permanent to fixed term temporary, without a break in service, the employee is determined not to have ceased their employment with Queensland Health. The employee is entitled to retain any accrued long service leave not taken prior to the change in status and is not to receive a payment in lieu of long service leave not taken.

7.1 Cash equivalent

Cash equivalent payment on termination normally occurs at or after 10 calendar years continuous service. Payment can be made for lesser periods of continuous service in the following circumstances:

- Upon retrenchment – one year
- Upon ill health retirement – five years
- Upon retirement if 55 years or older – five years
- Upon death – five years (refer to section 7.2)
- Termination except where termination is due to dismissals or career advancement – seven years (refer to section 7.3).

7.2 Death of an employee

When an employee dies, the amount payable to that employee on the date on which the employee died, is to be paid to the executors of the estate of the deceased employee.

When an employee dies intestate (i.e. without any will) there are procedures that need to be followed. The *Succession Act 1981* provides intestacy rules that outline how the monies are to be distributed. Schedule 2 of the Succession Act provides for the distribution to the spouse (and/or other family members).

The Public Trustee of Queensland can have a role with regards to estates until grants of letters of administration have been made. Consideration is to be given to the role of the Public Trustee and that it may not be appropriate to merely pass the entitlements cheque to a deceased employee's spouse without full consideration of the facts.

The delegate is to obtain legal advice if necessary, for example when the will does not appear to be valid or when there is a family dispute, if the employee has died intestate. Refer Separation of Employment HR Policy H1.

7.3 Exceptions to entitlements

From 1 December 2000, an entitlement was provided for the payment of the cash equivalent of pro rata long service leave after at least seven years of service, when the separation is not for the purposes of career advancement or dismissal.

Career Advancement

Career advancement (including self employment) is when there is advancement in rank or position, usually resulting in an increase in pay in line with an increase in responsibility and/or degree of difficulty in allocated tasks. A position of equal value to the position from which the employee resigns is not seen as career advancement.

When an employee has served for at least seven years, but less than 10 years, the employee must confirm in their separation advice that the separation is not for the purposes of career advancement.

Dismissal

Where dismissal is as a result of the employee's conduct, capacity or performance no cash equivalent of pro rata long service leave is to be paid.

8 Casual employees

Casual employee entitlements to long service leave are as follows:

Date	Entitlement
From 30 March 1994 onwards	Service counts provided there is no break between casual engagements of more than three months
From 23 June 1990 to 30 March 1994	Service counts provided at least 32 hours are worked every four weeks
Prior to 23 June 1990	No entitlement - service does not count (note exception for casual nurses)

Casual nurses and midwives employed prior to 1 June 1984 were entitled to accrue long service leave for service prior to 1 June 1984. Casual nurses or midwives employed on or after 1 June 1984 are not entitled to accrue long service leave during the period 1 June 1984 to 22 June 1990.

9 Part-time employees

A part-time employee accrues long service leave on a proportionate basis of the entitlement for a full-time employee. All long service leave entitlements are expressed as an hourly value.

In determining the length of absence of a part-time employee on long service leave, employees are to apply for the number of ordinary hours they would have otherwise been at work during the leave period. The debit against the balance of accrued leave is the actual number of hours absent from duty as described.

This principle applies in the case of employees who have accrued their leave entitlements by working a combination of full-time and part-time employment.

10 Extension of long service leave on a half pay basis

Employees may access long service leave on half pay. This is an extension of an existing condition of service and therefore, unless otherwise stated, the same conditions that apply to long service leave on full pay apply to long service leave on half pay.

Granting of long service leave, including on a half pay basis, is subject to organisational convenience however requests for leave are not to be unreasonably refused.

The standard conditions in this policy, apply to half pay long service leave arrangements in the following way.

10.1 Calculation

Long service leave on half-pay is debited on a full-time equivalent basis. For example, two weeks (10 days) of long service leave will attract a debit of one week (five days) from full pay credits. Unless otherwise stated, the same conditions that apply to long service leave on full pay apply to long service leave on half pay.

10.2 Leave accrual

The period of the leave is recognised as normal full-time or part-time service applying to the employee at the time of taking the leave, i.e. for the period of half pay long service leave the accrual of sick, recreation and long service leave entitlements is to remain at the full-time rate for employees working full-time and at the relevant proportional rate for employees working part-time.

10.3 Salary increments

Increment provisions are recognised as normal full-time or part-time service applying to the employee at the time of taking the leave. When a full-time employee takes half pay long service leave, such leave is recognised as full-time equivalent service towards the next increment. For example, a full-time or part-time employee on two months long service leave on half pay is to have two months full-time service credited towards their next increment.

10.4 Public holidays

Long service leave is exclusive of any public holiday that falls during the period of the leave.

Any public holidays which occur during half pay long service leave are paid at the employee's normal full-time or part-time rate.

Employees working on a seven day roster when their rostered days off vary from week to week, are to be considered to be off roster during long service leave and treated in the same way as Monday to Friday workers.

When extensions to long service leave incorporate public holidays, leave is to be extended or cash equivalents increased by virtue of these public holidays.

10.5 Concessional day

When the concessional day (or a day taken in lieu) falls during a period of half pay long service leave, eligible employees are to receive this payment at their normal full-time or part-time rate.

11 Employee complaints

An employee who believes that this policy has been incorrectly applied or has not been applied to their individual circumstances may lodge a grievance in accordance with the Individual employee grievances HR Policy E12.

Definitions:

Break in service	For the purposes of this policy, means any break greater than two days (i.e. their weekend) or up to four days in the case of rostered days off for shift workers between ceasing as a permanent employee of Queensland Health and being re-engaged as a fixed term temporary employee of Queensland Health.
Vocational training scheme/pathway/network	In Queensland, vocational trainees can be allocated to a training position in a vocational training scheme/pathway/network via three different avenues: 1. a centrally managed Queensland Health pathway, network or training program 2. directly by a Queensland Health facility accredited for training; or an individual specialist medical college, which allocates trainees to a Queensland or interstate facility.

History:

December 2021	• Policy updated as part of the HR Policy review • Policy amended to: – re-title policy from 'Long Service Leave - Entitlement, Conditions, Pay in Lieu, Cash Equivalent, Casuals, Home Helps, Part-time, Voluntary Reversion and Termination Payment' to 'Long service leave' – update references and naming conventions – include half pay provisions from repealed Long Service Leave HR Policy C41 – include the procedural information in Attachment One.
August 2015	• Policy version dated December 2009 re-enlivened as a result of the restoration of conditions under the <i>Industrial Relations Act 1999</i>.
July 2014	• Policy formatted as part of the HR Policy Simplification project. • Policy amended to: – re-title policy from 'Long Service Leave - Entitlement, Conditions, Pay in Lieu, Cash Equivalent, Casuals, Home Helps, Part-time, Voluntary Reversion and Termination Payment' to 'Long service leave' – update references and naming conventions – reflect entitlements outlined in industrial awards and agreements to remove any duplication – include provisions of Long Service Leave HR Policy C41 – include relevant long service leave related provisions from Annual/Recreation leave HR Policy C51

	remove provisions relating to the death of an employee which is available in the Separation of Employment HR Policy H1
December 2009	Protected IRM 11.4-1 reformatted as part of the HR policy consolidation project in accordance with EB7. Minimum period of long service leave amended in line with public service provisions.
Previous	- Long Service Leave HR Policy C41 (QH-POL-167) - Annual/Recreation Leave C51 (QH-POL-100) - IRM 11.4-1 Leave – Long Service Leave – Entitlement, Conditions, Pay In Lieu, Cash Equivalent, Casuals, Home Helps, Part-Time, Voluntary Reversion and Termination Payment

Attachment One – Procedure

The following information is provided as the minimum mandatory standard practice, procedure or process to enable satisfactory compliance with this Queensland Health HR policy.

Local guidelines/procedures may be developed to facilitate implementation of this policy. Any local guidelines/procedures must be consistent with this policy and standard practice and ensure employee entitlements continue to be met.

The following provisions are to apply in respect of long service leave:

- An application for leave is to be made through *myHR*, specifying if the leave is to be accessed on a full or half pay basis.
- Timely notice of the desire for leave is to be given by the employee.
- Employees are advised to seek advice from the Australian Taxation Office or their accountant/financial advisor regarding taxation implications for payments of long service leave on half pay or cashing out of long service leave.
- Existing employee options in relation to superannuation contribution levels (and proportionate employer contribution and benefit levels) are to apply. Employees are advised to contact their superannuation provider for advice regarding superannuation implications.
- The employee is to be given timely advice as to whether or not leave is approved.
- Granting of long service leave, including on a half pay basis, is subject to organisational convenience however requests for leave are not to be unreasonably refused.
- Leave may be taken up to the total amount of leave due as at the date of commencement of the leave, calculated by:
 - determining the total period of the employee's continuous service having regard to the provisions of this policy in respect of leave credited for service
 - determining the total long service leave entitlement appropriate to that period of continuous service
 - deducting from the total entitlement any long service leave previously taken and any entitlement forfeited as a result of disciplinary action.
- When an employee becomes ill and is granted sick leave in lieu of long service leave, approval is granted in accordance with the Sick Leave HR Policy C64.
- When an employee is recalled from long service leave, the taking of the balance of the leave originally approved is not subject to any minimum period, other than the minimum balance that can be taken is one day.